

$r_{\text{value-growth}}$ and r_{momentum} are the returns of their in-house value-growth and momentum factor portfolios. The factor exposures are the coefficients b_1 to b_4 , and the manager's active return comprises a true alpha, b_0 , plus movements due to market, size, value-growth, and momentum exposures.

Academics will recognize equation (14.6) as an industry version of Fama and French (1993).³¹ GM Asset Management believes that market, value, and momentum are sources of risk premiums, and they can obtain all this exposure very cheaply through their own index factor portfolios. GM Asset Management likes tilts to value and momentum but wants to select managers who can deliver stock selecting prowess in excess of these factor exposures (they want to see $b_0 > 0$, $b_3 > 0$, and $b_4 > 0$). They believe that size does not contribute to a risk premium, consistent with the lack of a size effect we now observe in data. They also would like to see a fund manager not take excessive market risk. Thus, all else equal, they prefer to see managers with benchmark-like exposures to the market and size ($b_1 \approx 0$ and $b_2 \approx 0$).

GM Asset Management uses the factor benchmarks as just one tool to select and evaluate managers. GM Asset Management also finds their approach useful in controlling factor exposures at the total equity portfolio level. They use this tool only internally; they do not give factor benchmarks to their managers. In fact, most portfolio managers would feel extremely uncomfortable being given a factor benchmark that combines the value and momentum effects. Perhaps the widespread adoption of factor benchmarks will change this.

4.3. RAISING THE BAR FOR ACTIVE MANAGEMENT

We could go beyond GM Asset Management and evaluate all managers, not just equity managers, using factor benchmarks. In an ideal implementation of factor investing, we would give customized factor benchmarks directly to managers instead of passive market-based indexes.

For example, we could evaluate:

A private equity manager using a benchmark incorporating EQUITY MARKET + BOND MARKET + LIQUIDITY + CREDIT factors. CPPIB does this, but uses only the first two factors.

A corporate bond manager using BOND MARKET + CREDIT + VOLATILITY factors. If we can obtain credit exposure cheaply elsewhere, the manager should be giving us something extra to justify her fees.

A value equity manager using EQUITY MARKET + VALUE-GROWTH. GM Asset Management does this now, except it does not give the factor benchmark to the manager.

³¹Fama and French (1993) have market, size, and value-growth factors. Carhart (1997) augments this with a momentum factor.